

## The Dentists' Supply Company of New York

78. The Dentists' Supply Company of New York (DSCo.) was incorporated in the State of New York in 1899. It has sixteen manufacturing subsidiaries, two in the USA, two in Canada, three in Germany, two in Brazil and one each in the United Kingdom (Dentsply Ltd., Brighton), France, Italy, Argentina, Puerto Rico, Mexico and Australia. The names of these subsidiary companies are listed in Appendix 7.\*

79. DSCo. is the world's largest producer of artificial teeth (both porcelain and plastic) and these it manufactures in the United States, the United Kingdom, and in various other plants which it either owns or controls in Europe, Australia and South America. It claims to offer the largest variety of artificial teeth in the world, both in the number of lines and in the total of forms, sizes and shades.

80. Until 1957 DSCo. manufactured only artificial teeth and some dental prosthetic materials and devices. (A prosthesis is an artificial substitute for a physical deficiency.) In 1957, however, it introduced the Borden Airtor, the first high speed ball bearing air turbine handpiece. The acquisition of The L. D. Caulk Company in 1963, and The Ransom and Randolph Company Inc., in 1964, broadened the company's scope to include Caulk's wide range of dental consumables and Ransom and Randolph's refractory moulding and investment materials for dental and industrial castings and dental burs. These mergers also brought the company into the retail side of the United States dental goods industry by providing it with forty-five retail depots.

81. Although DSCo. owns or controls manufacturing plants in many parts of the world, it has for many years relied on ADCo. and ADCo.'s overseas subsidiaries to effect the distribution of its products outside the Americas and Far East. At present about one-quarter of DSCo.'s production of teeth is marketed through ADCo. This close association between the two companies, although still primarily concerned with artificial teeth, has in recent years been extended to reflect DSCo.'s diversification into other types of dental goods and it is DSCo.'s policy to extend ADCo.'s franchise to keep pace with any expansion of its range of goods. The various agreements, both manufacturing and distributing, between the two companies have already been described in paragraphs 50 to 54.

82. DSCo. and ADCo. are also linked by shareholdings. ADCo. owns about 8 per cent. of DSCo.'s common stock (the proportion was as large as one-third between 1924 and 1958) and has substantial shareholdings in German and Italian manufacturing companies each of which is half-owned by DSCo. In addition until recently ADCo. and DSCo. had a director on each other's Board.

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\*The term 'DSCo.' is used in this and other chapters when referring to the activities of the Group of companies of which DSCo. is the parent—see also footnote to paragraph 11.

83. The following table gives the approximate composition of DSCo.'s sales of its own products in 1964.

**DSCo: Sales of own products, 1964**

*(Approx. percentage)*

|                             |       |
|-----------------------------|-------|
| Teeth ... ..                | 49    |
| Borden Airotors ... ..      | 5     |
| Caulk products ... ..       | 21    |
| R & R burs ... ..           | 3     |
| Other R & R products ... .. | 6     |
| Other products ... ..       | 16    |
|                             | <hr/> |
|                             | 100   |

In addition, its sales of other companies' products, mainly through its retail depots in the USA, amounted in 1964 to a figure equal to about 75 per cent. of its sales of its own products. Sales to ADCo. amounted to about 16 per cent. of DSCo.'s sales of its own products and to nearly 10 per cent. of its sales of all products.

84. During the period 1961-1965 DSCo.'s net assets grew by 129 per cent. The following table shows the annual figures for the last five years.

**DSCo: Net assets,\* 1961-5**

*(£'000)*

|                | 1961  | 1962  | 1963  | 1964  | 1965   |
|----------------|-------|-------|-------|-------|--------|
| Net assets ... | 4,555 | 4,777 | 8,063 | 9,816 | 10,447 |

The net assets of The L.D. Caulk Co. (acquired in 1963) amounted to some £3,000,000 and those of The Ransom & Randolph Co. Inc. (acquired in 1964) about £1,400,000. The company's net sales during this period expanded by 261 per cent.

85. During the years 1961-5 net profit increased from £1,351,000 to £2,661,000, some 97 per cent. The following table gives figures for the return (net profits) on capital employed (calculated at historic costs) during this period.

**DSCo: Estimated return on capital employed, 1961-5**

*(per cent.)*

|      |     |     |     |     |    |
|------|-----|-----|-----|-----|----|
| 1961 | ... | ... | ... | ... | 34 |
| 1962 | ... | ... | ... | ... | 36 |
| 1963 | ... | ... | ... | ... | 29 |
| 1964 | ... | ... | ... | ... | 24 |
| 1965 | ... | ... | ... | ... | 26 |

\*Sterling figures quoted in this chapter have been obtained by conversion from the US dollar at a rate of \$2.80=£1.